

Gap Up Into Resistance:

The Gap Up Into Resistance is a Setup that has a gap up due to a positive catalyst. In addition, if the stock is also trading into an important daily resistance level then we have our setup. Big players will often use the liquidity from this news gap to distribute shares. As participants become aware of this distribution, we will see a reversal of the gap up.

Best types of trades for this setup:

- Reversals

